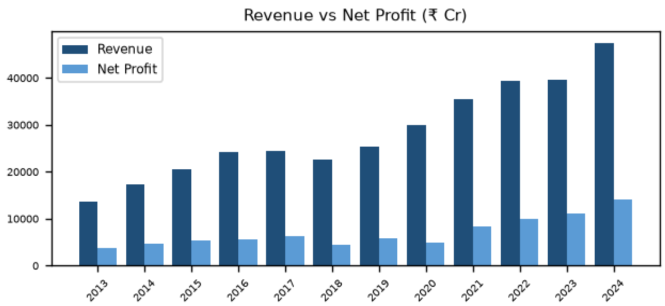
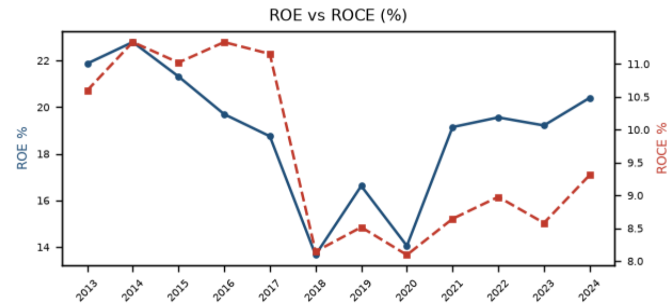
REC Ltd (RECLTD)

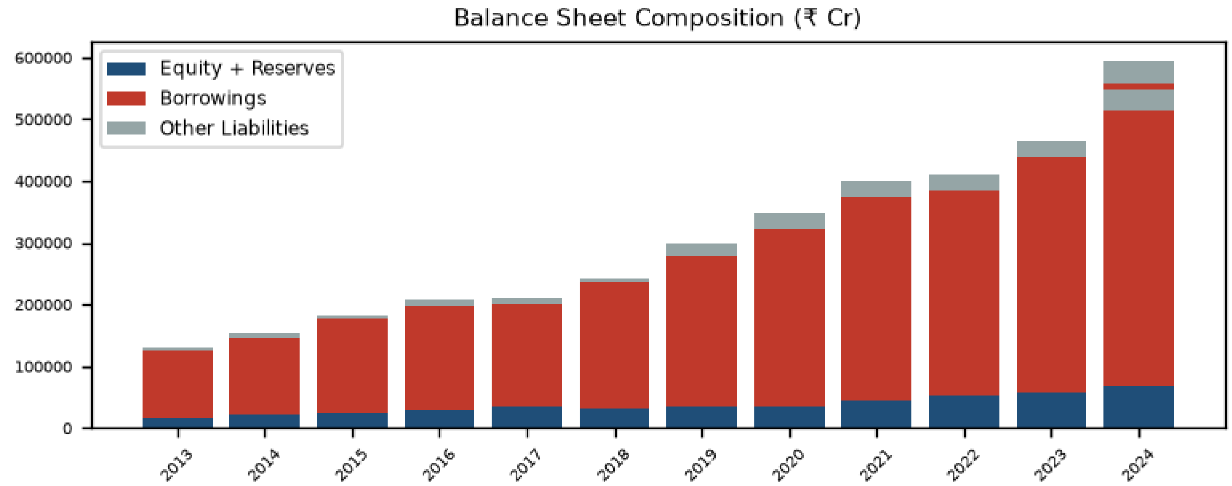
Financials — Speciality Finance

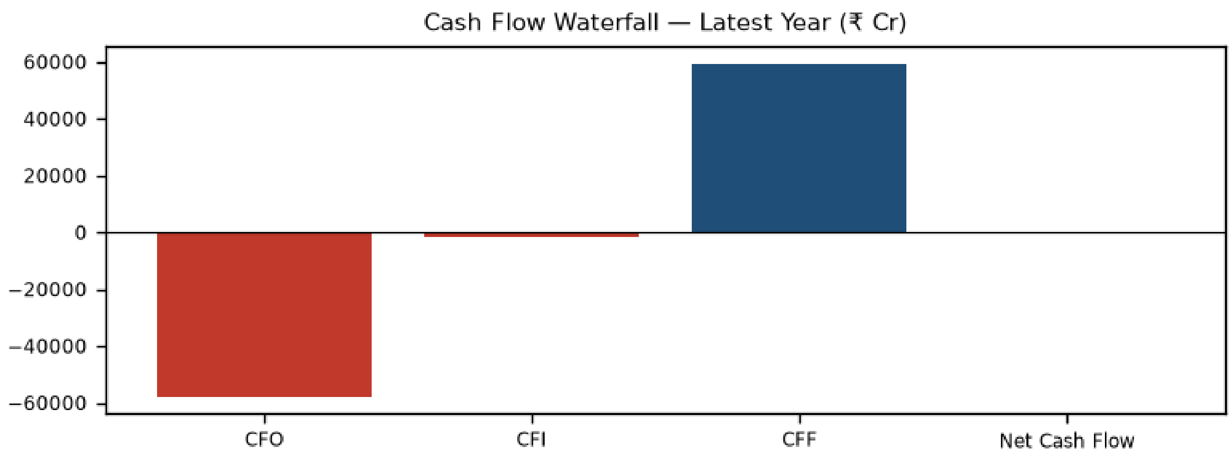
ROE	ROCE	Net Profit Margin
20.4%	9.3%	29.8%
D/E	**Revenue CAGR (5yr)**	**FCF (latest, Cr)**
6.4x	13.3%	-59554





REC Ltd (RECLTD) — Balance Sheet & Cash Flow





Capital Allocation Pattern: Growth Funded by Debt

Pros

✓ Operating profit margin above 25% indicates strong pricing power and cost discipline (98% confidence)
✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (62% confidence)
✓ Revenue growing slower than profits shows improving operating leverage and scale benefits (66% confidence)

Cons

✗ Free cash flow negative for 3 consecutive years raises concern about cash generation quality (85% confidence)
✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (61% confidence)
✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (80% confidence)